

target was met 18 months later, and Shah, not surprisingly, looks at that as “a huge turning point.”

Achieving one target boosted confidence, and thus was born the ‘Think Big’ theme. It was time to look at a few segments and figure out “a way to do very well.” Within SUVs, the authentic SUV was the chosen one. By then, Mahindra had done both compact and multi-purpose vehicles. It resulted in XUV700, a product Shah describes as one-fourth of what a BMW X5 costs. “It was a great example of thinking big.”

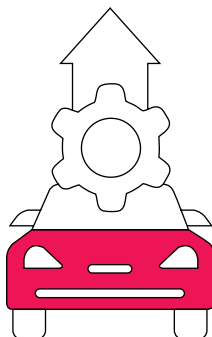
Deven R. Choksey, Chairman and MD of investment advisory firm DR-Choksey Finserv, views Mahindra’s automotive business as one that has met the aspirations of the new, young buyers. “A lot of time has gone into understanding areas related to looks and styling apart from getting it right on engineering,” he says. To him, offering good products that are value for money has worked. “Overall, getting in a well-designed vehicle has given them a differentiator to play with in the market.”

To take that point one step further, Shah narrates how digital marketing became a big part of the marketing strategy, with short videos being pushed out. The first set of numbers saw over 30 million views. “We were asking ourselves if we missed a decimal point somewhere,” he says. According to him, it was important to do the few key things well. “The seeds were sown around think big, do less and execute flawlessly. We clearly developed a lot of confidence in the first couple of years.”

That effort appears to have paid off. Last April, M&M picked up a 59% stake in SML Isuzu to establish a strong presence in the <3.5T LCV segment. That was preceded by M&M’s own heavy commercial vehicles’ vertical breaking even and delivering strong products. Shah’s view is that if the team is performing well, they

ANOTHER TAKE

- 01 **In April 2021, Anish Shah was appointed the Group CEO & MD of the Mahindra Group**
- 02 **It was the first instance of a non-family member occupying the corner office**
- 03 **M&M’s automotive and farm equipment business has seen successful launches, increased market share**
- 04 **A key decision was to sell the loss-making SsangYong**
- 05 **Under Shah’s leadership, the approach has been to identify specific gaps in the market and provide value-for-money products**



can realise the gains forecast from an acquisition. “We stayed disciplined through the process of buying SML Isuzu. We had a certain price that was felt to be right and allowed us to deliver shareholder value,” he says.

The premiumisation of India’s auto sector has been ongoing for a while. Choksey thinks it is not a new theme for M&M. “What they have done well is a clear focus on affordable pricing like Maruti, picked out lessons in style from the Koreans and learnt engineering from the Germans. In the process, a solid moat has been created,” he says.

Specifically, in the EV strategy, the BE 6 and XEV 9E variants are “distinctly different” in terms of style and tech-friendliness for the end consumer. “It gives a premium feeling at the end of it,” he says.

For Shah, it all starts with an outstanding product that customers want to own. “Our product development, design and sourcing teams have come together to create a strong product. From a price standpoint, too, it is important to be competitive,” he says.

Meanwhile, the tractor business, where M&M is the clear market leader, continues to grow on a large base. “They have been extremely agile at a time when significantly large players are absent,” says Choksey. An ICICI Direct report after the company’s third quarter results describes the farm equipment segment (tractors) performance as stellar, with tractor volumes up 23% on a year-on-year basis and margins improving around 50 basis points quarter-on-quarter, “underscoring the company’s strong pricing discipline and market leadership.”

Shah is now gearing up for the next phase, which will be different. Past learnings will surely matter and hopefully be put to even more effective use. How it does that could well determine the contours of the future. **BT**

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